Bogleheads

Vanguard four fund portfolio

*This article contains details **specific to United States (US) investors**. If you are a non-US investor, **do not use** any funds or ETFs listed here. They expose you to harmful US dividend tax and estate tax risks. Proceed **only** if you have verified these risks do not apply to you.*
Non-US investors can find related information at Simple non-US portfolios.

On February 6, 2013 Vanguard announced the creation of **four fund portfolios** by adding a strategic allocation of international hedged bonds to the firm's series of target date (target retirement) and target risk (LifeStrategy) funds.[1] These funds are commonly offered by employer provided plans, where they are often default investment options in 529 college savings plans and individual retirement arrangements.

The allocation plan adds the Vanguard International Bond Index fund to the portfolio asset mix. This bond fund is hedged to reduce currency risk.

Three fund and four fund portfolios

Before the addition of an international bond fund to the target date and target risk funds, the allocation of these balanced portfolios were versions of the very popular three fund portfolio,[2] which consists of three broad asset class index funds:

- Total U.S. stock market index fund
- Total international stock index fund
- Total U.S. bond index fund

The four-fund portfolio that Vanguard is now using consists of the following broad asset class index funds:

- Total U.S. stock market index fund
- Total international stock index fund
- Total U.S. bond index fund
- Total international bond index fund

From 2013 - 2015 Vanguard allocated 30% of a portfolio's stock allocation to international stocks and allocated 20% of a portfolio's nominal bond allocation to international bonds.

Beginning in 2015, Vanguard increased the international allocations to the four fund portfolios. International stock allocations increased from 30% to 40% of a portfolio's stock allocation. International bonds increased from 20% to 30% of a portfolio's nominal bond allocation. The allocation changes began in the second quarter of 2015 and were completed before year-end.[3][4]

References

1. "Vanguard to Further Diversify Target Retirement Funds" (https://web.archive.org/web/20190117081102/https://pressroom.vanguard.com/content/news/2013.02.06_Vanguard_to_Further_Diversify_Target_Retirement_Funds.html). February 6, 2013. Archived from the original (https://pressroom.v

anguard.com/content/press_release/2013.02.06_Vanguard_to_Further_Diversify_Target_Retirement_Funds.html) on January 17, 2019.
2. Bogleheads forum topic: "The Three Fund Portfolio" (https://www.bogleheads.org/forum/viewtopic.php?t=88005)
3. "2015 changes to Target Retirement Funds, Q&A" (https://institutional.vanguard.com/VGApp/iip/site/institutional/researchcommentary/article/NewsInstinfo022615QA). Vanguard Institutional. February 26, 2015. Retrieved 28 February 2015.
4. "Expanded target-date lineup, more diversification" (https://institutional.vanguard.com/VGApp/iip/site/institutional/researchcommentary/article/NewsInstinfo022615). Vanguard. February 26, 2015. Retrieved August 9, 2015.

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